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PRINCIPLES OF MANAGEMENT
GROUP 6
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CHAPTER 4 SUMMARY: KEY BASIC FUNCTIONS OF MANAGEMENT

Functions of management

1. Planning: The Strategic Foundation

Planning is the process managers use to identify and select appropriate goals and courses of action. It is considered the first step in the management process because it sets the direction for all other functions.

Planning steps:

1.Developing Premises: Here, managers have to estimate future desired conditions, that business need to achieve

2. Identifying Alternative Courses of Action: after estimating future desired conditions, it is essential to explore different methods to achieve those goals

3. Evaluating Alternative Courses: here manager, evaluate each method to know how it works
4. Selecting an Alternative: this step includes selection of the best way to achieve the business goal
5. **Implementing the Plan:** put the plan into action
6. **Follow-up Action:** this process includes monitoring and controlling the progress of the implemented plan

Importance of Planning:

1. It provides the direction of the business which other process will follow
2. It reduces overlapping of actions
3. Reduces risks and uncertainty.
4. Helps in better decision-making.
5. Ensures efficient use of resources.
6. Encourages innovation and creativity.
7. Sets standards for control.
8. Promotes coordination among departments.

2. Organizing: Creating Structure

Organizing involves establishing a structure of working relationships that allows employees to interact and cooperate to achieve organizational goals.

Key Activities:

- Grouping people into departments according to the specific tasks they perform.
- Defining the chain of command and clarifying individual responsibilities.

Importance of organizing

1. It creates the working structure of the organization
2. Provides clarity of roles and responsibilities.
3. Facilitates coordination among employees and departments.

4. Promotes efficiency in using resources.
5. Supports growth and expansion.
6. Helps in faster and effective decision-making.
7. Reduces conflicts and misunderstandings.
8. Ensures stability and continuity of operations.

Steps of organizing

1. Identify and list all activities.
2. Group similar activities into departments.
3. Assign duties to individuals or teams.
4. Delegate authority to carry out tasks.
5. Coordinate authority and responsibility.
6. Establish clear relationships and reporting lines.
7. Create an organizational structure.

3. Leading: Motivating and Directing

Focus Areas: This function relies heavily on leadership styles, effective communication, and motivation techniques to inspire productivity.

Importance:

1. ensures employees remain committed to long-term objectives.
2. It empowers employees through effective leadership
3. It increases productivity

4. Controlling: Ensuring Performance

Controlling is the process of evaluating how well an organization is achieving its goals and taking corrective action to maintain or improve performance.

The Control Process:

Monitoring: Tracking the performance of individuals, departments, and the organization as a whole.

Evaluation: Comparing actual performance against the standards and goals established during the planning phase.

Corrective Action: Implementing changes if performance deviates from the planned objectives.

Importance: Controlling provides the feedback necessary to adjust plans and ensures the organization stays on the right track.

CHAPTER 5 SUMMARY: DOMESTIC AND GLOBAL BUSINESS ENVIRONMENT

BUSINNESS ENVIRONMENT

The **business environment** consists of all external and internal factors that influence how organizations operate. We can define it well by dividing into domestic and global environments.

1. Domestic Environment

The domestic environment refers to factors within a country that affect businesses and individuals. These include:

Economic factors: inflation, interest rates, employment levels, an2d domestic markets.

Political and legal factors: government policies, laws, and regulatory frameworks.

Social and cultural factors: local traditions, values, education, and consumer behavior.

Technological factors: domestic infrastructure, innovation, and technology adoption.

Businesses operating locally must adapt to national laws, cultural norms, and market conditions.

2. Global Environment

The global environment refers to external factors beyond a country's borders that affect business operations internationally. These include:

Economic factors: global trade, exchange rates, international markets, and foreign investments.

Political and legal factors: international laws, trade agreements, and global institutions.

Social an8d cultural factors: cross-cultural differences, global trends, and international consumer behavior.

Technological factors: global innovations, digital transformation, and technological diffusion.

Environmental factors: climate change, sustainability challenges, and resource availability.

Key point: Global forces often influence domestic markets, e.g., changes in international coffee prices affect Rwandan coffee farmers

3. Interconnection Between Domestic and Global Environments

The domestic environment is shaped partly by global forces, while global trends often respond to aggregated domestic conditions.

Businesses need to analyze both environments to make informed strategic decisions. For example, a local company exporting goods must consider both domestic regulations and global market trends.

Features of Business Environment

- Totality of External Forces: The business environment includes all external factors that influence a business, such as customers, competitors, government policies, economic conditions, technology, and social trends. A business cannot control these forces, but it must respond to them to survive and grow.

- Specific and General Forces:

Specific forces directly affect a business, such as suppliers, customers, competitors, and distributors.

General forces indirectly affect businesses and include economic, social, political, legal, and technological factors.

- Inter-relatedness: Different elements of the business environment are connected to each other. A change in one area often leads to changes in others. For example, a change in government policy (political) may affect business laws (legal), costs (economic), and employment (social).

- Dynamic Nature: The business environment is constantly changing due to new technologies, changing consumer preferences, globalization, and economic shifts. Businesses must continuously adapt to remain competitive.

- Uncertainty: Changes in the business environment are often unpredictable. Factors such as technological innovation, changes in government policies, or sudden economic crises create uncertainty, making business planning more challenging.

- ❖ Complexity: The business environment is complex because it involves many interrelated factors that operate at local, national, and global levels. Understanding how all these factors interact is difficult but necessary for effective decision-making.

- ❖ Relativity: The business environment differs from country to country, region to region, and industry to industry. What is favorable for one business or country may not be favorable for another

IMPORTANCE OF BUSINESS ENVIRONMENT

Understanding the business environment is important because it:

- Helps firms identify opportunities and gain first-mover advantage.
- Helps identify threats early and act as a warning system.
- Assists businesses in obtaining resources such as labor, capital, and raw materials.
- Enables firms to cope with rapid changes in markets and technology.
- Supports planning and policy formulation.
- Improves business performance and long-term success

Dimensions of Business Environment

- **Economic Environment**
  This includes factors such as interest rates, inflation, income levels, monetary policy, and economic growth.
- **Social Environment**
  It consists of customs, traditions, beliefs, values, education levels, lifestyle, and population trends.
- **Technological Environment**
  This includes scientific advancements, innovation, automation, artificial intelligence, and digital technology.
- **Political Environment**
  refers to government stability, policies, ideology, and attitude toward businesses. A stable political system creates confidence among investors, while instability creates uncertainty and risk.

- **Legal Environment:** includes laws, regulations, court decisions, and government guidelines that businesses must follow

Hofstede's Model of National Culture

Hofstede's Model of National Culture explains how cultural differences between countries affect how people behave at work and in organizations. It has six dimensions:

- **Power Distance**: Shows whether people accept unequal power. High power distance accepts hierarchy; low power distance prefers equality.
- **Individualism vs. Collectivism**: Individualist cultures focus on personal goals, while collectivist cultures focus on group loyalty.
- **Masculinity vs. Femininity**: Masculine cultures value competition and success; feminine cultures value care and quality of life.
- **Uncertainty Avoidance:** High levels prefer clear rules; low levels are comfortable with change and uncertainty.
- **Long-term vs Short-term Orientation:** Long-term cultures plan for the future; short-term cultures focus on the present

GLOBALIZATION

Globalization is the growing connection and interdependence of countries through trade, technology, culture, and the movement of people. It affects economies, societies, and the environment in many ways:

Economic Integration: Countries' economies are linked, allowing businesses to expand globally.

Inequality: Wealth is unevenly distributed; some benefit while others face poverty or low wages.

Communication & Technology: Internet and digital tools connect the world.

Outsourcing: Companies move operations to cheaper countries, creating jobs abroad but reducing jobs at home.

Free Trade & Capitalism: Global trade and free markets promote efficiency, innovation, and profit but can favor big corporations and widen wealth gaps.

Culture & Brands: Cultures mix worldwide, and global brands expand, but local traditions and businesses can be overshadowed.

Environmental Impact: Industrial growth and global trade can harm the environment, but green technologies and global agreements offer solutions.

Growth and Poverty: Globalization can drive development but may leave marginalized communities behind.

Exploitation & Monopoly Power: Workers and resources in developing countries can be exploited, and large companies may dominate markets.

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